Late Payment Policy – Sample

FICTIONAL SAMPLE DOCUMENT — created for RAG chatbot testing. These terms are illustrative and are not real lender terms, legal advice, or a credit offer.

Overdue EMI

An EMI not received by the due date is treated as overdue according to the loan agreement.

Late Payment Charge

For this fictional sample, a late payment charge of ■500 plus applicable taxes may apply to each overdue EMI.

Additional Interest

Overdue amounts may attract additional interest or penal charges where permitted and disclosed in the applicable agreement.

Credit Reporting

Persistent or materially overdue payments may be reported to credit information companies according to applicable rules and reporting practices.

Repeated Delays

Repeated missed payments can lead to collection activity and may affect future credit eligibility.

How to Resolve

Customers should pay overdue amounts promptly and contact the lender through official support channels if they are unable to make a scheduled payment.

End of sample document.